

Form 1120 For calendar year 2025	U.S. Corporation Income Tax Return Department of the Treasury — Internal Revenue Service Go to www.irs.gov for instructions and the latest information.	OMB No. 1545-0123 2025

Name Jade Lotus Nail Spa, Inc.	B Employer identification number 88-3104477
Number, street 1885 Tully Road, Suite 120	C Date incorporated 2015-06-11
City San Jose, CA 95122	D Total assets \$348,500.61

A Check if: 1a Consolidated return ☐ 2 Personal holding co. ☐ 3 Personal service corp. ☐ 4 Schedule M-3 attached ☐

E Check if: (1) Initial return ☐ (2) Final return ☐ (3) Name change ☐ (4) Address change ☐

Income		
1a	Gross receipts or sales	1,520,000.00
1b	Returns and allowances	
1c	Balance. Subtract line 1b from line 1a	1,520,000.00
2	Cost of goods sold (attach Form 1125-A)	312,000.00
3	Gross profit. Subtract line 2 from line 1c	1,208,000.00
4	Dividends and inclusions (Schedule C, line 23)	0
5	Interest	
6	Gross rents	
7	Gross royalties	
8	Capital gain net income (attach Schedule D)	
9	Net gain or (loss) from Form 4797	
10	Other income (attach statement)	
11	Total income. Add lines 3 through 10	1,208,000.00

Deductions (See instructions for limitations on deductions.)		
12	Compensation of officers (attach Form 1125-E)	156,000.00
13	Salaries and wages (less employment credits)	602,000.00
14	Repairs and maintenance	18,000.00
15	Bad debts	
16	Rents	144,000.00
17	Taxes and licenses	58,000.00
18	Interest (see instructions)	11,679.34
19	Charitable contributions	
20	Depreciation from Form 4562 not claimed elsewhere (attach Form 4562)	44,000.00
21	Depletion	
22	Advertising	22,000.00
23	Pension, profit-sharing, etc., plans	
24	Employee benefit programs	14,000.00
25	Energy efficient commercial buildings deduction	
26	Other deductions (attach statement)	41,000.00
27	Total deductions. Add lines 12 through 26	1,110,679.34

28	Taxable income before NOL and special deductions (line 11 less line 27)	97,320.66
29c	Add lines 29a and 29b	
30	Taxable income. Subtract line 29c from line 28	97,320.66
31	Total tax (Schedule J, line 12)	20,437.00
33	Total payments and credits (Schedule J, line 23)	18,000.00
34	Estimated tax penalty	
35	Amount owed	2,437.00
36	Overpayment	

Under penalties of perjury, I declare that I have examined this return, including accompanying schedules and statements, and to the best of my knowledge and belief, it is true, correct, and complete.

Signature of officer: Mai-Linh Tran	Title: President	Date: 2026-03-12
Paid preparer: Bayshore Tax & Accounting, LLP	PTIN: P01558240	Firm EIN: 77-0421188

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Schedule C — Dividends, Inclusions, and Special Deductions

Line item	(a) Dividends and inclusions	(b) %	(c) Special deductions
1 Dividends from less-than-20%-owned domestic corporations	0	50	0
2 Dividends from 20%-or-more-owned domestic corporations	0	65	0
23 Total dividends and inclusions (to page 1, line 4)	0		
24 Total special deductions (to page 1, line 29b)			0

Schedule J — Tax Computation and Payment

1a	Income tax (21% of line 30)	20,437.00
2	Total income tax. Add lines 1a through 1z	20,437.00
3	Corporate alternative minimum tax (Form 4626)	
4	Add lines 2 and 3	20,437.00
6	Total credits	
7	Subtract line 6 from line 4	20,437.00
9	Total. Add lines 9a through 9z	
11a	Total tax before deferred taxes	20,437.00
12	Total tax (to page 1, line 31)	20,437.00
13	Preceding year's overpayment credited to current year	
14	Current year's estimated tax payments	18,000.00
17	Tax deposited with Form 7004	
18	Withholding (see instructions)	
19	Total payments. Combine lines 13 through 18	18,000.00
20c	Credit for tax withheld under chapter 3 or 4 (Form 1042-S, 8805, 8288)	
21	Total credits	
23	Total payments, credits (to page 1, line 33)	18,000.00

Schedule K — Other Information

1	Check accounting method: ☒ Accrual	
2a	Business activity code no.: 812113	
2b	Business activity: Personal care services	
2c	Product or service: Nail salon services	
3	Is the corporation a subsidiary in an affiliated group or parent-subsidary controlled group? ☐ Yes ☒ No	
4a	Did any foreign/domestic corp, partnership, trust, or tax-exempt org own directly 20% or more, or own (directly or indirectly) 50% or more of the voting stock? ☐ Yes ☒ No	
4b	Did any individual or estate own directly 20% or more, or own (directly or indirectly) 50% or more of the voting stock? ☒ Yes ☐ No — If "Yes," complete Part II of Schedule G (attached).	
5a	Own directly 20% or more of any foreign or domestic corporation? ☐ Yes ☒ No	
6	During this tax year, did the corporation pay dividends in excess of current and accumulated E&P? ☐ Yes ☒ No	
7	At any time during this tax year, did one foreign person own, directly or indirectly, at least 25% of the total voting power of all classes of the corporation's stock entitled to vote or at least 25% of the total value of all classes of stock? ☒ Yes ☐ No For rules of attribution, see section 318. If "Yes," enter: (a) Percentage owned 30% (b) Owner's country Vietnam (c) The corporation may have to file Form 5472. Enter the number of Forms 5472 attached 1	
9	Amount of tax-exempt interest received or accrued: \$0	
10	Number of shareholders at the end of the tax year: 3	
12	Available NOL carryover from prior tax years: \$0	
13	Are total receipts and total assets at year end less than \$250,000? ☐ Yes ☒ No	
15a	Did the corporation make any payments that would require it to file Form(s) 1099? ☒ Yes ☐ No	
15b	If "Yes," did or will the corporation file required Form(s) 1099? ☒ Yes ☐ No	
19	During this tax year, did the corporation make any payments that would require it to file Forms 1042 and 1042-S under chapter 3 (sections 1441 through 1464) or chapter 4? ☐ Yes ☒ No	
27	Did the corporation receive or dispose of a digital asset? ☐ Yes ☒ No	
28	Is the corporation a member of a controlled group? ☐ Yes ☒ No	

Schedule L — Balance Sheets per Books

Assets		Beginning of year	End of year
1	Cash	151,329.41	153,500.61
2a	Trade notes and accounts receivable	10,000.00	12,000.00
3	Inventories	28,000.00	28,000.00
10a	Buildings and other depreciable assets	385,000.00	385,000.00
10b	Less accumulated depreciation	(186,000.00)	(230,000.00)
	Net depreciable assets	199,000.00	155,000.00
15	Total assets	388,329.41	348,500.61
Liabilities and Shareholders' Equity			
16	Accounts payable	19,000.00	22,000.00
17	Mortgages, notes, bonds payable in less than 1 year	7,712.46	8,228.99
19	Loans from shareholders	200,000.00	180,000.00
20	Mortgages, notes, bonds payable in 1 year or more	21,616.95	13,387.96
22b	Common stock	1,000.00	1,000.00
23	Additional paid-in capital	99,000.00	99,000.00
25	Retained earnings — Unappropriated	40,000.00	24,883.66
28	Total liabilities and shareholders' equity	388,329.41	348,500.61

Schedule M-1 — Reconciliation of Income (Loss) per Books With Income per Return

1	Net income (loss) per books	74,883.66
2	Federal income tax per books	20,437.00
5c	Expenses on books not deducted (Travel and entertainment)	2,000.00
6	Add lines 1 through 5	97,320.66
9	Add lines 7 and 8	
10	Income (page 1, line 28) — line 6 less line 9	97,320.66

Schedule M-2 — Analysis of Unappropriated Retained Earnings per Books

1	Balance at beginning of year	40,000.00
2	Net income (loss) per books	74,883.66
4	Add lines 1, 2, and 3	114,883.66
5a	Distributions: Cash	90,000.00
7	Add lines 5 and 6	90,000.00
8	Balance at end of year (line 4 less line 7)	24,883.66

Schedule G (Form 1120) — Information on Certain Persons Owning the Corporation's Voting Stock

(Attach to Form 1120. See instructions.) Reportable for the tax year ending December 31, 2025.

Part I — Certain Entities Owning the Corporation's Voting Stock (complete if any entity owns directly 20% or more, or owns, directly or indirectly, 50% or more of the total voting power of all classes of the corporation's stock entitled to vote).

(i) Name of entity	(ii) Employer identification number	(iii) Type of entity	(iv) Country of organization	(v) % owned in voting stock
None — no entity owns 20% or more of the corporation's voting stock.	—	—	—	0%

Part II — Certain Individuals and Estates Owning the Corporation's Voting Stock (complete if any individual or estate owns directly 20% or more, or owns, directly or indirectly, 50% or more of the total voting power of all classes of the corporation's stock entitled to vote).

(i) Name of individual or estate	(ii) Identifying number	(iii) Country of citizenship	(iv) % owned in voting stock
Mai-Linh Tran	XXX-XX-8841	United States	40%
Tran Quoc Dung	XXX-XX-3360	Vietnam	30%
Vo Kim Oanh	XXX-XX-7708	Vietnam	30%

Note — Constructive ownership (section 318). The two nonresident-alien shareholders identified above are husband and wife; each is treated as owning the stock owned by the other. The President listed above is their child. Direct ownership percentages are stated as recorded in the stock ledger as of December 31, 2025.

Form 1125-A (Rev. November 2018)	Cost of Goods Sold Department of the Treasury — Internal Revenue Service Go to www.irs.gov for instructions and the latest information.	OMB No. 1545-0123
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1	Inventory at beginning of year	28,000.00
2	Purchases	305,000.00
3	Cost of labor	0
4	Additional section 263A costs	0
5	Other costs (attach schedule)	7,000.00
6	Total. Add lines 1 through 5	340,000.00
7	Inventory at end of year	28,000.00
8	Cost of goods sold. Subtract line 7 from line 6 (to Form 1120, line 2)	312,000.00

Line 5 — Other costs (supporting schedule)

Freight-in on salon product purchases	4,300.00
Shipping and handling — distributor orders	1,850.00
Inventory spoilage and disposal	850.00
Total other costs (to line 5)	7,000.00

Inventory valuation

Inventories are valued at the lower of cost or market using the first-in, first-out (FIFO) method. Inventory consists of nail care product held for use in services and product held for retail sale across the three salon locations. There was no change in determining quantities, cost, or valuations between opening and closing inventory.

Form 1125-E (Rev. October 2016)	Compensation of Officers Department of the Treasury — Internal Revenue Service Go to www.irs.gov for instructions and the latest information.	OMB No. 1545-0123
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Note: Complete Form 1125-E only if total receipts are \$500,000 or more.

(a) Name of officer	(b) Identifying number	(c) % time devoted	Common %	Preferred %	(f) Amount of compensation
Mai-Linh Tran	XXX-XX-8841	100%	40%	0%	156,000.00
1 Total compensation of officers					156,000.00
2 Compensation of officers claimed on Form 1125-A or elsewhere					0
3 Subtract line 2 from line 1 (to Form 1120, line 12)					156,000.00

The President is the only corporate officer. The two other shareholders are nonresident-alien individuals who are not officers, are not employed by the corporation, and perform no services for the corporation. They receive no wages, salary, or officer compensation; amounts paid to them during the year are reported separately as rent and as interest on shareholder advances.

Form 4562 2025	Depreciation and Amortization Department of the Treasury — Internal Revenue Service Go to www.irs.gov for instructions and the latest information.	OMB No. 1545-0123 2025

Part IV — Summary

17	MACRS deductions for assets placed in service before 2025	38,200.00
19	MACRS deductions for assets placed in service in 2025 (by class)	5,800.00
22	Total. Add amounts (to Form 1120, line 20)	44,000.00

Depreciation schedule — detail by asset (supporting Form 4562)

Asset description	In service	Life	Cost basis	Accum. (begin)	2025 deprec.	Accum. (end)
Pedicure spa chairs (Location 1 — Tully Rd)	2019-05	7-yr	30,000	17,400	3,900	21,300
Pedicure spa chairs (Location 2 — Story Rd)	2020-03	7-yr	33,000	14,000	3,600	17,600
Pedicure spa chairs (Location 3 — McLaughlin)	2021-08	7-yr	30,000	9,900	3,300	13,200
Manicure tables & stations (Loc 1)	2019-05	7-yr	14,500	8,100	1,500	9,600
Manicure tables & stations (Loc 2)	2020-03	7-yr	13,800	6,850	1,450	8,300
Manicure tables & stations (Loc 3)	2021-08	7-yr	12,600	4,800	1,300	6,100
Ventilation / exhaust systems (Loc 1)	2019-06	7-yr	18,500	10,800	1,800	12,600
Ventilation / exhaust systems (Loc 2)	2020-04	7-yr	17,200	9,100	1,700	10,800
Ventilation / exhaust systems (Loc 3)	2021-09	7-yr	16,400	6,550	1,650	8,200
Leasehold improvements (Loc 1)	2019-05	15-yr	35,000	21,800	2,800	24,600
Leasehold improvements (Loc 2)	2020-03	15-yr	32,000	17,270	2,530	19,800
Leasehold improvements (Loc 3)	2021-08	15-yr	28,000	12,330	2,270	14,600
Reception & retail casework (all loc.)	2020-07	7-yr	15,500	7,600	1,500	9,100
UV/LED curing lamps & tools	2022-02	5-yr	12,800	4,850	2,050	6,900
Point-of-sale terminals & tablets	2022-05	5-yr	9,600	3,600	1,600	5,200
Laundry & towel equipment	2021-06	7-yr	8,200	3,500	900	4,400
Office computers & networking	2023-01	5-yr	7,400	2,120	1,480	3,600
Signage & exterior branding	2022-09	7-yr	6,800	2,450	950	3,400
Water heaters & plumbing fixtures	2020-11	7-yr	6,200	3,060	640	3,700
Furniture & waiting-area seating	2021-03	7-yr	5,500	2,490	610	3,100
Security & camera systems	2023-04	5-yr	4,800	1,240	960	2,200
Sound & A/V systems	2022-08	5-yr	3,700	1,340	560	1,900
Small tools, sterilizers & misc. equipment (grouped)	2023-07	5-yr	23,500	14,850	4,950	19,800
TOTAL			385,000	186,000	44,000	230,000

Accumulated depreciation rolls forward from a beginning-of-year balance of \$186,000.00 by current-year depreciation of \$44,000.00 to an end-of-year balance of \$230,000.00. Gross depreciable assets total \$385,000.00; net book value at year end is \$155,000.00.

Form 1120, Line 17 — Taxes and Licenses (supporting statement)

Employer share — Social Security and Medicare (FICA)	48,640.00
Federal unemployment tax (FUTA)	1,260.00
California unemployment & employment training tax (UI/ETT)	4,180.00
City of San Jose business tax & regulatory permits (3 locations)	2,520.00
State Board of Cosmetology establishment licenses	760.00
Personal property tax (business equipment)	640.00
Total taxes and licenses (to line 17)	58,000.00

Form 1120, Line 26 — Other Deductions (supporting statement)

Utilities (electricity, water, gas) — 3 locations	12,400.00
Property & liability insurance	6,900.00
Salon supplies not included in cost of goods sold	5,130.00
Merchant card processing fees	4,850.00
Professional fees — accounting, payroll, legal	4,600.00
Telephone, internet & scheduling software	2,650.00
Janitorial & laundry service	1,850.00
Bank service charges	620.00
Meals (50% allowable portion)	2,000.00
Total other deductions (to line 26)	41,000.00

Note — Line 18 Interest. Interest expense of \$11,679.34 consists of \$10,000.00 of interest accrued and paid on advances from the two shareholder lenders (5.0% per annum on a \$200,000 beginning principal balance) and \$1,679.34 of interest on the term loan payable to Pacific Crest Community Bank.

Form 1120, Line 13 — Salaries and Wages (supporting summary)

Nail technicians and estheticians — Location 1 (Tully Road)	221,400.00
Nail technicians and estheticians — Location 2 (Story Road)	206,800.00
Nail technicians and estheticians — Location 3 (McLaughlin Ave)	139,300.00
Front-desk, reception and floor supervisors	34,500.00
Total salaries and wages (to line 13)	602,000.00

Schedule L, Line 16 — Accounts Payable (supporting detail, end of year)

Nail product distributor trade payables	11,300.00
Utilities and service vendors	4,200.00
Accrued payroll and related	4,100.00
Other trade payables	2,400.00
Total accounts payable	22,000.00

Schedule L, Lines 17 & 20 — Notes Payable (supporting detail)

Pacific Crest Community Bank term loan — current portion (due within 1 year)	8,228.99
Pacific Crest Community Bank term loan — long-term portion	13,387.96
Total term loan payable, end of year	21,616.95
Loans from shareholders (lines 19) — two shareholder lenders	180,000.00

The term loan payable is a five-year amortizing note originated July 1, 2023 in the original principal amount of \$40,000.00 at 6.50% per annum, payable in level monthly installments of \$782.65. The note is guaranteed by the President individually. Shareholder loans represent unsecured advances from the two nonresident-alien shareholders bearing interest at 5.0% per annum.

Form 1120, Line 1a — Gross Receipts by Location and Month (supporting schedule)

Month	Loc 1 — Tully Rd	Loc 2 — Story Rd	Loc 3 — McLaughlin	Total receipts
January	41,760.00	38,880.00	28,800.00	109,440.00
February	40,600.00	37,800.00	28,000.00	106,400.00
March	49,300.00	45,900.00	34,000.00	129,200.00
April	51,040.00	47,520.00	35,200.00	133,760.00
May	52,200.00	48,600.00	36,000.00	136,800.00
June	53,360.00	49,680.00	36,800.00	139,840.00
July	45,240.00	42,120.00	31,200.00	118,560.00
August	43,500.00	40,500.00	30,000.00	114,000.00
September	47,560.00	44,280.00	32,800.00	124,640.00
October	49,880.00	46,440.00	34,400.00	130,720.00
November	52,780.00	49,140.00	36,400.00	138,320.00
December	52,780.00	49,140.00	36,400.00	138,320.00
Total	580,000.00	540,000.00	400,000.00	1,520,000.00

Gross receipts represent fees for nail care and related personal-care services and retail product sales, net of sales tax collected and remitted. Amounts are recognized when services are rendered. Card-settlement deposits are reconciled monthly to the merchant-processor statements and to the operating bank account.

Form 1120, Line 16 — Rent Expense by Location and Lessor (supporting schedule)

Leased premises	Lessor / payee	Monthly rent	Annual rent paid
Location 1 — Suite 120, 1885 Tully Road, San Jose CA	Tran Quoc Dung	\$2,000.00 / mo	24,000.00
Location 1 — Suite 120, 1885 Tully Road, San Jose CA	Vo Kim Oanh	\$2,000.00 / mo	24,000.00
Location 2 — 2402 Story Road, San Jose CA	Tran Quoc Dung	\$2,000.00 / mo	24,000.00
Location 2 — 2402 Story Road, San Jose CA	Vo Kim Oanh	\$2,000.00 / mo	24,000.00
Location 3 — 1190 McLaughlin Avenue, San Jose CA	Tran Quoc Dung	\$2,000.00 / mo	24,000.00
Location 3 — 1190 McLaughlin Avenue, San Jose CA	Vo Kim Oanh	\$2,000.00 / mo	24,000.00
Total rent paid — all locations			144,000.00

Each of the three salon premises is leased under a written month-to-month commercial lease. The premises are owned in equal one-half undivided interests by the two individuals identified above as lessors, who are also shareholders of the corporation and reside outside the United States. Rent is paid by check to each lessor individually in the amount of \$2,000 per location per month (\$6,000 per month to each lessor; \$12,000 per month in aggregate).

Comparative Statement of Operations — Tax Basis (2024 and 2025)

Line item	Tax year 2024	Tax year 2025
Gross receipts	1,452,000.00	1,520,000.00
Cost of goods sold	(298,600.00)	(312,000.00)
Gross profit	1,153,400.00	1,208,000.00
Compensation of officers	(150,000.00)	(156,000.00)
Salaries and wages	(581,000.00)	(602,000.00)
Rents (paid to shareholder-lessors)	(141,600.00)	(144,000.00)
Taxes and licenses	(55,200.00)	(58,000.00)
Interest	(13,420.00)	(11,679.34)
Depreciation	(46,500.00)	(44,000.00)
Repairs, advertising, benefits and other	(92,000.00)	(95,000.00)
Taxable income	26,180.00	97,320.66
Federal income tax (21%)	5,498.00	20,437.00

The 2024 column is presented for comparative purposes only. Tax-year-2025 amounts agree to Form 1120, page 1.

Quarterly Estimated Tax Payment Record — Tax Year 2025

Installment	Due date	Date paid	Amount
1st (Form 1120-W)	2025-04-15	2025-04-14	4,500.00
2nd	2025-06-16	2025-06-13	4,500.00
3rd	2025-09-15	2025-09-15	4,500.00
4th	2025-12-15	2025-12-12	4,500.00
Total estimated payments (to Schedule J, line 14)			18,000.00

Form 1120, Line 14 — Repairs and Maintenance (supporting statement)

Plumbing and pedicure-station repairs	6,800.00
HVAC and ventilation servicing	4,500.00
General facility repairs (3 locations)	3,900.00
Equipment maintenance contracts	2,800.00
Total repairs and maintenance (to line 14)	18,000.00

Form 1120, Line 22 — Advertising (supporting statement)

Online listings, search and social media advertising	9,400.00
Loyalty program and promotional discounts	5,600.00
Local print, signage and community sponsorships	4,200.00
Website hosting and design	2,800.00
Total advertising (to line 22)	22,000.00

Form 1120, Line 24 — Employee Benefit Programs (supporting statement)

Group health insurance — employer contributions	9,300.00
Paid sick leave and statutory benefits	2,900.00
Employee product and training allowances	1,800.00
Total employee benefit programs (to line 24)	14,000.00

The corporation maintains its books on the accrual method. The statements on this and the preceding pages are an integral part of the return and support the amounts reported on Form 1120, page 1.

Schedule K — Other Information (continued)

16	During this tax year, did the corporation have an 80%-or-more change in ownership? ☐ Yes ☒ No	
17	Did the corporation dispose of more than 65% (by value) of its assets? ☐ Yes ☒ No	
18	Did the corporation receive assets in a section 351 transfer with FMV over \$1 million? ☐ Yes ☒ No	
20	Is the corporation operating on a cooperative basis? ☐ Yes ☒ No	
21	Did the corporation pay or accrue interest/royalty for which the deduction is disallowed under section 267A? ☐ Yes ☒ No	
22	Does the corporation have gross receipts of at least \$500 million in any of the 3 preceding tax years? ☐ Yes ☒ No	
23	Did the corporation have a section 163(j) real property/farming election in effect? ☐ Yes ☒ No	
24	Does the corporation satisfy any condition requiring Form 8990 (business interest expense limitation)? ☐ Yes ☒ No	
25	Does the corporation intend to self-certify as a Qualified Opportunity Fund? ☐ Yes ☒ No	
26	Since 12/22/2017, did a foreign corporation acquire substantially all of the corporation's properties (section 7874)? ☐ Yes ☒ No	
28	Is the corporation a member of a controlled group? ☐ Yes ☒ No	
29c	Does the corporation meet the CAMT safe-harbor of section 59(k)(3)(A)? ☒ Yes ☐ No	
30	Is the corporation required to file Form 7208 (excise tax on stock repurchases)? ☐ Yes ☒ No	

Schedule L, Line 19 — Loans From Shareholders (annual rollforward)

Shareholder lender	Balance 1/1/2025	Advances	Principal repaid	Balance 12/31/2025
Tran Quoc Dung (30% shareholder)	100,000.00	0.00	10,000.00	90,000.00
Vo Kim Oanh (30% shareholder)	100,000.00	0.00	10,000.00	90,000.00
Total loans from shareholders	200,000.00	0.00	20,000.00	180,000.00

Interest accrued and paid on shareholder advances during the year was \$5,000.00 to each lender (\$10,000.00 in aggregate), computed at 5.0% per annum on the \$100,000.00 beginning balance of each advance. The advances are unsecured and payable on demand.

Schedule M-2, Line 5a — Cash Distributions to Shareholders (detail)

Date / event	Shareholder	Amount
2025-06-30 distribution	Mai-Linh Tran (40%)	18,000.00
2025-06-30 distribution	Tran Quoc Dung (30%)	13,500.00
2025-06-30 distribution	Vo Kim Oanh (30%)	13,500.00
2025-12-19 distribution	Mai-Linh Tran (40%)	18,000.00
2025-12-19 distribution	Tran Quoc Dung (30%)	13,500.00
2025-12-19 distribution	Vo Kim Oanh (30%)	13,500.00
Total cash distributions		90,000.00

Distributions were made pro rata in proportion to stock ownership. The corporation's current and accumulated earnings and profits exceeded total distributions for the year; accordingly the distributions are treated as dividends. See Schedule M-2 for the analysis of unappropriated retained earnings.

Statement of Significant Accounting Policies and Elections

Method of accounting. The corporation reports income and expense on the overall accrual method of accounting. Gross receipts are recognized as services are performed and as retail product is sold.

Inventory. Inventory is stated at the lower of cost or market using the first-in, first-out (FIFO) convention and consists of professional nail-care product and retail merchandise held across the three salon locations.

Property and equipment. Depreciable assets are recorded at cost and depreciated under the Modified Accelerated Cost Recovery System (MACRS) using the applicable recovery period and convention for each asset class, as detailed on the Form 4562 supporting schedule. The corporation did not elect section 179 expensing or bonus depreciation for the current year.

Related parties. Two of the corporation's three shareholders are individuals who reside outside the United States. During the year the corporation leased its three operating locations from those shareholders and paid them interest on unsecured advances. Amounts paid to and balances owed to those shareholders are summarized in the supporting schedules to this return.

Officer compensation. The President is the corporation's only officer and devotes substantially all working time to the business. The remaining shareholders perform no services and receive no compensation.

Estimated tax. The corporation remitted federal estimated income tax in four equal quarterly installments as shown on the estimated-tax payment record.

Forms 1099. The corporation filed Forms 1099-NEC and 1099-MISC as required for reportable payments to non-employees, and issued Form 1099-DIV to its United States shareholder for the cash distributions treated as dividends. Payroll and the related employment-tax returns are processed by an outside payroll service.

The schedules and statements accompanying this return are an integral part of the return. All amounts are stated in U.S. dollars and agree to the corporation's books and records as of December 31, 2025.

Statement — Gross Receipts and Method of Accounting

Gross receipts of \$1,520,000 reported on Form 1120, line 1a represent fees for nail-care and related personal-care services and retail product sales across the three salon locations, recognized on the accrual method as services are performed and product is sold, net of any sales tax collected on behalf of the taxing authorities. The corporation accepts payment primarily by card; card settlements are deposited to the operating bank account, generally within one to two business days of the transaction, and are reconciled monthly to the merchant-processor statements. Because reported gross receipts are stated on the accrual basis and the operating bank account reflects cash actually collected, the total of deposits to the bank account in a given period will not equal reported gross receipts; the difference reflects the timing of collections, beginning and ending accounts receivable, and non-receipt deposits.

Statement — Compensation of Officers (Form 1125-E support)

Officer	Title	Time devoted	Stock owned	Compensation
Mai-Linh Tran	President	100%	40%	156,000.00

The President is the corporation's only officer and devotes substantially all of her working time to managing the three salon locations, supervising approximately thirty employees, and performing the corporation's administrative, financial, and purchasing functions. Her compensation is paid as salary, reported on Form W-2, and is deducted on Form 1120, line 12. The corporation's other two shareholders are nonresident-alien individuals who perform no services for the corporation and receive no compensation; amounts paid to them are reported separately as rent and interest and are not officer compensation.

Statement — Schedule M-1 Detail

Book-to-tax reconciling item	Amount
Net income per books	74,883.66
Add: federal income tax per books	20,437.00
Add: 50% nondeductible portion of meals	2,000.00
Taxable income before special deductions (Form 1120, line 28)	97,320.66

The only differences between book income and taxable income for the year are the federal income tax provision (not deductible for tax) and the 50% limitation on meals. There are no other temporary or permanent differences.